

H2 Economics Case Study Practice 4

Macroeconomics — Comprehensive Syllabus Coverage (4–6 marks)

H2 Economics 9570 | Compiled by Jeremy Lim

Instructions to students. This booklet provides comprehensive short-answer practice across the macroeconomic content of the 9570 syllabus. Case Study 1 covers international trade, the balance of payments, protectionism, and globalisation. Case Study 2 covers economic growth (actual, potential, sustainable, and inclusive), the macroeconomic aims and their trade-offs, and supply-side policy. Case Study 3 covers the policy mix used to manage inflation, deflation, exchange rates, fiscal policy, and monetary policy. Each case study contains an extract and a data table, followed by six short-answer questions ranging from 4 to 6 marks. Write your answers in the lined spaces provided. Use the mark allocation as a guide to depth: 4-mark questions typically require a two-step explanation; 6-mark questions require a developed analytical response with reference to the data or a relevant diagram.

CASE STUDY 1. Trade, Protectionism, and Globalisation: The US-China Trade War

Table 1.1: Selected United States and China Trade and External Balance Indicators, 2017–2023

Indicator	2017	2019	2020	2022	2023
US Current Account Balance (% GDP)	-1.9	-2.2	-2.8	-3.8	-3.0
US Goods Trade Balance with China (US\$ bn)	-375	-345	-310	-382	-279
US Average Effective Tariff Rate on Chinese Imports (%)	3.1	19.3	19.3	19.3	19.3
China Current Account Balance (% GDP)	1.7	0.7	1.7	2.2	1.4
China Share of US Goods Imports (%)	21.6	18.1	18.6	16.5	13.9
US Share of Total World Trade (%)	11.5	11.0	10.9	10.5	10.3

Source: Adapted from US Census Bureau, IMF Balance of Payments Statistics, and World Trade Organization.

Extract 1.1: Decoupling, derisking, and the new face of globalisation

Since 2018, the United States has imposed tariffs averaging 19.3 per cent on roughly 370 billion US dollars of imports from China, citing intellectual property theft, forced technology transfer, and an unsustainable bilateral trade deficit. China retaliated with tariffs on US agricultural and manufactured goods. The Biden administration retained the tariffs and added further restrictions on the export of advanced semiconductors and chip-making equipment to China.

The tariffs have changed the pattern of US trade. China's share of US goods imports fell from 21.6 per cent in 2017 to 13.9 per cent in 2023, the lowest in two decades. Mexico, Vietnam, India, and Taiwan have absorbed a large share of the redirected trade. Yet the United States bilateral goods deficit with China remains substantial, and the overall US current account deficit has widened, not narrowed. Economists note that a country's overall trade balance reflects the gap between national saving and national investment rather than any single bilateral relationship.

The trade conflict has accelerated a wider shift in the global economy. The World Trade Organization reports that global trade growth has slowed to roughly the same rate as global GDP, ending three decades of hyper-globalisation in which trade consistently outpaced output. Firms have begun to shift from “just-in-time” supply chains to “just-in-case” supply chains, prioritising resilience over cost. Policymakers in advanced economies increasingly speak of “friend-shoring” and “derisking” rather than free trade.

For smaller open economies such as Singapore, the implications are mixed. On one hand, supply chain diversification has brought new investment to ASEAN, with Vietnam's exports to the United States rising sharply. On the other hand, fragmentation of the global trading system threatens the multilateral rules-based order on which trade-dependent economies rely.

Source: Adapted from The Economist, “The end of free trade as we knew it”, 11 January 2024.

Question 1

[4 marks]

Define the “balance of payments”, distinguish it from the “balance of trade”, and identify the section of the balance of payments that records services trade.

Question 2

[4 marks]

With reference to Table 1.1, describe two changes in the United States’ external trade position between 2017 and 2023.

Question 3

[4 marks]

Explain, using the principle of comparative advantage, why free trade between the United States and China should in theory raise total output in both economies.

Question 4

[6 marks]

With the aid of a tariff diagram, explain the effects of the United States' tariff on Chinese imports on US consumers, US producers, and the US government.

Question 5

[6 marks]

Explain two reasons why, despite the tariffs imposed on Chinese imports, the overall United States current account deficit has widened rather than narrowed between 2017 and 2023.

Question 6

[6 marks]

Explain how the trend towards “derisking” and supply chain fragmentation described in Extract 1.1 represents a reversal of globalisation, and identify one potential consequence for a small open economy such as Singapore.

CASE STUDY 2. Economic Growth and Macroeconomic Aims: Indonesia and Vietnam

Table 2.1: Selected Indonesia and Vietnam Macroeconomic Indicators, 2019–2023

Indicator	Indonesia 2019	Indonesia 2023	Vietnam 2019	Vietnam 2023
Real GDP Growth (%)	5.0	5.0	7.0	5.1
CPI Inflation (%)	2.8	3.7	2.8	3.3
Unemployment Rate (%)	5.2	5.3	2.2	2.3
Gross Fixed Capital Formation (% GDP)	32.3	29.6	26.7	31.5
Manufactured Goods Exports, US\$ bn	88	165	234	318
Foreign Direct Investment Inflows, US\$ bn	23.4	21.6	16.1	23.2
Gini Coefficient (0–100)	38.2	36.1	35.3	36.1
CO ₂ Emissions per capita (tonnes)	2.3	2.6	3.5	4.0

Source: Adapted from World Bank, Asian Development Bank, and IMF World Economic Outlook.

Extract 2.1: ASEAN's growth ambitions and their trade-offs

Indonesia and Vietnam are among the fastest-growing economies in Southeast Asia. Both have pursued sustained economic growth as a primary national objective, but each has confronted distinctive challenges along the way. Indonesia, the region's largest economy, has channelled investment into downstream nickel processing for the electric vehicle supply chain and into a new capital city, Nusantara. Vietnam has positioned itself as a manufacturing alternative to China, attracting foreign direct investment from electronics giants relocating production capacity.

Yet rapid growth has brought trade-offs. Vietnam's CO₂ emissions per capita have risen sharply as coal-fired power expanded to meet industrial demand, raising concerns about whether its growth is environmentally sustainable. Indonesia's nickel boom has been linked to deforestation in Sulawesi and elevated air pollution near smelting hubs. In both countries, the benefits of growth have been unevenly distributed: while urban manufacturing centres have prospered, rural and agricultural communities have lagged.

Both governments have responded with supply-side policies. Vietnam has invested heavily in technical and vocational education, raised the minimum schooling age, and announced major infrastructure spending on the North-South Expressway and seaports. Indonesia has rolled out the Pra-Kerja vocational training programme, expanded the BPJS social health insurance scheme, and pursued tax reform to broaden the revenue base. Both countries acknowledge that sustaining growth into the middle-income tier requires deeper investment in human capital and institutional quality, not merely cheap labour and natural resources.

Critics argue, however, that policymakers have struggled to reconcile four competing aims: sustained growth, low and stable inflation, low unemployment, and a healthy external position. In Indonesia, attempts to support the rupiah have constrained interest rate cuts even when growth has softened. In Vietnam, attracting foreign investment has required tax incentives that narrow the fiscal space available for redistribution.

Source: Adapted from Nikkei Asia, "Southeast Asia's growth dilemmas", 22 November 2023.

Question 1

[4 marks]

Distinguish between “actual” and “potential” economic growth, and explain which type is shown by a rightward shift of the long-run aggregate supply curve.

Question 2

[4 marks]

Using Table 2.1, explain one piece of evidence that Vietnam’s growth between 2019 and 2023 may not be environmentally sustainable.

Question 3

[4 marks]

Define “inclusive growth”. Using Extract 2.1, explain one obstacle to achieving inclusive growth in Indonesia or Vietnam.

Question 4

[6 marks]

With the aid of an AD/AS diagram, explain how an increase in foreign direct investment, as shown in Table 2.1 for Vietnam, contributes to both actual and potential economic growth.

Question 5

[6 marks]

Explain how the supply-side policies described in Extract 2.1 could help Vietnam and Indonesia transition from middle-income to high-income economies.

Question 6

[6 marks]

Explain why the pursuit of sustained economic growth may conflict with two other macroeconomic aims. Refer to Extract 2.1 in your answer.

CASE STUDY 3. The Policy Mix: Inflation, Exchange Rates, and Fiscal-Monetary Trade-offs in Japan

Table 3.1: Selected Japan Macroeconomic Indicators, 2019–2023

Indicator	2019	2020	2021	2022	2023
Real GDP Growth (%)	-0.4	-4.1	2.6	1.0	1.9
CPI Inflation, headline (%)	0.5	0.0	-0.2	2.5	3.3
BoJ Policy Rate (%)	-0.10	-0.10	-0.10	-0.10	-0.10
JPY/USD Exchange Rate (year-end)	109	103	115	132	141
Trade Balance (US\$ bn)	-14	27	16	-120	-69
Government Debt (% GDP)	235	259	254	261	252
Fiscal Balance (% GDP)	-3.0	-9.1	-6.2	-5.7	-5.2

Source: Adapted from Bank of Japan, Ministry of Finance Japan, and IMF World Economic Outlook.

Extract 3.1: Japan's escape from deflation and the yen's slide

For nearly three decades following the asset-price bubble of the early 1990s, Japan struggled with persistent deflation and stagnant growth. The Bank of Japan (BoJ) pursued an extraordinarily loose monetary policy, including a zero interest rate from the late 1990s, quantitative easing from 2001, and a negative policy rate from 2016. Yet headline inflation rarely sustained itself above one per cent.

The picture changed sharply in 2022. Global commodity prices surged, and crucially the yen depreciated against the US dollar from 109 in 2019 to 141 by the end of 2023. The depreciation reflected the widening interest rate differential as the US Federal Reserve raised rates aggressively while the BoJ kept its policy rate negative. A weaker yen raised the domestic price of imported goods, particularly energy, food, and electronics components. Headline inflation rose to 3.3 per cent in 2023, the highest in four decades.

Fiscal policy has been used aggressively but with mounting constraints. The government has run persistent fiscal deficits, and gross general government debt now exceeds 250 per cent of GDP, the highest in the developed world. Successive prime ministers have launched stimulus packages including transfers to households, subsidies on electricity and gas bills, and infrastructure spending. The Ministry of Finance has expressed concern that the limited fiscal space could constrain Japan's ability to respond to future shocks, particularly given the demographic pressures of an ageing population on pension and healthcare expenditure.

Some commentators argue that Japan's experience illustrates the limits of monetary policy when interest rates are at their zero lower bound. With conventional rate cuts unavailable, the BoJ relied on unconventional measures whose effectiveness was debated. Others argue that the depreciation of the yen demonstrates how exchange-rate movements can transmit foreign monetary tightening into a domestic economy even when the central bank itself does not raise rates.

Source: Adapted from Bloomberg, "Japan's long road back to inflation", 6 December 2023.

Question 1

[4 marks]

Define “deflation” and explain one reason why prolonged deflation, of the kind Japan experienced before 2022, is harmful to an economy.

Question 2

[4 marks]

Using Table 3.1 and Extract 3.1, describe the change in Japan’s exchange rate against the US dollar between 2019 and 2023, and identify one likely cause.

Question 3

[4 marks]

Explain how a depreciation of the yen contributed to Japan's inflation rising to 3.3 per cent in 2023.

Question 4

[6 marks]

Explain the “zero lower bound” problem and how it constrained the Bank of Japan’s monetary policy response described in Extract 3.1.

Question 5

[6 marks]

With the aid of an AD/AS diagram, explain how an expansionary fiscal package, of the kind described in Extract 3.1, would affect Japan's real national income and price level.

Question 6

[6 marks]

Explain two limitations of Japan's continued reliance on expansionary fiscal policy, given the data on government debt and fiscal balance in Table 3.1.

End of Booklet